

Response to Referee R2

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis (R2).** R2 asked for a fuller treatment of the stock market evidence around a greater set of legal events. The examination the referee suggested identified additional important events: the certiorari grant and midterm election of November 1934 (the certiorari grant came on November 5 and the election on November 6, a day on which the market was closed, so their individual contributions cannot be distinguished). Over this window, gold-exposed firms outperformed non-exposed firms by 3.5 percentage points ($t = 3.3$), second only to the Joint Resolution window. The event is now part of the main analysis. The return evidence appears in a dedicated table (Table 1, in the main text) and four event-study figures (Internet Appendix Figures IA.1–IA.4). A new Internet Appendix section examines the lower court events; none of them generated a strong differential in returns between exposed and unexposed firms.
- **Robustness with the full set of fixed effects (R6).** R6 asked to see the characteristic-control specifications with industry-year fixed effects included. New Internet Appendix Table IA.16 reports all of them. The 1933 effect is essentially unchanged and remains significant; the 1934 effect attenuates and mostly loses significance, without sign reversals. Section 5 now discusses this sensitivity directly and notes that the attenuation arises only when the characteristic controls and the industry-year fixed effects are included together.
- **Limitations of the exposure measure (R6).** R6 asked the paper to be more upfront about the fact that gold exposure is entangled with the debt-versus-preferred composition of a firm’s fixed claims. Section 5.5 now closes with an explicit limitations discussion, stating that our placebo and control strategies mitigate but cannot fully eliminate this concern.
- **Pre-trends (R6).** R6 noted that the litigation-year coefficients cannot be statistically distin-

guished from individual pre-treatment estimates such as the 1930 coefficient. Section 5.2 now acknowledges this directly and clarifies that the support for the parallel-trends assumption comes from the pre-treatment coefficients being individually insignificant.

- **Liberty bond discussion (R2).** R2 asked for the appropriate context for the Liberty Bond price increase during the January 1935 arguments. We agree with the referee’s interpretation and have adopted it in the text: as gold-denominated government obligations, Liberty Bonds rose in price because investors saw a real chance the government could lose the case. The missing *New York Times* citation has been added.

Corrections identified while reviewing the code. As part of this revision we reviewed the code of our empirical exercises end to end; this led to a few corrections, none of which changed the interpretation of the results.

1. The “no redemption” sample of column 4 of Table 4 (and of Internet Appendix Table IA.9, column 1) inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935. The revised sample excludes only the firms that retired their gold-clause debt during the litigation window. No coefficient loses significance; the level of $\tilde{d}$ and the $1935 \times \tilde{d}$ interaction sharpen from the 5% to the 1% level. For convenience, Table R1, at the end of this document, reports column 4 before and after the correction.
2. The standard errors in column 7 of Table 4 (Table 3 in the previous draft), the bank-debt placebo, were inadvertently clustered by firm only in the previous draft; they are now two-way clustered by firm and year, like every other column. The coefficients are unchanged; the 1926 and 1928 placebo interactions sharpen from the 10% level to the 5% and 1% levels, respectively, and the litigation-year cells remain insignificant in both versions. For convenience, Table R2, at the end of this document, reports the column before and after the correction.
3. In Internet Appendix Table IA.14, the below/above-median classification of firms was inadvertently computed over all sample years rather than at the 1930 base year. The cor-

rected classification changes the estimates, while the central heterogeneity conclusions are unchanged.

4. The firm count printed in the header of Panel C of Table 2 (formerly 594) was a typographical error introduced when the table was created; the underlying sample is unchanged (503 firms).

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with “event lines” (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

Thank you for this suggestion; it changed our exposition of the historical narrative. In the paper, when we begin our discussion of the relevant legal events, we write:

“Throughout this section, we report the stock market’s reaction to the main legal developments; this return evidence is suggestive and accompanies the narrative, while the paper’s main analysis rests on the investment evidence of Section 5.”

We first implemented your suggestion literally: we built the four requested return series from CRSP daily returns and examined the market’s response to every legal development of the litigation, from the Joint Resolution and the first lawsuits through the lower court rulings, the certiorari grants, the oral arguments, and the decision. What we found led us to add an event window to the analysis and to rethink how the paper presents the return evidence.

Regarding the legal events of interest, two findings emerged from this exercise.

1. An event window the previous draft had missed: November 5–8, 1934. On Monday, November 5, the Supreme Court granted certiorari in *United States v. Bankers Trust Co.*, that is, it agreed to review the case. The government itself had petitioned for review, seeking a prompt, definitive ruling on the gold question rather than further lower-court litigation. The very

next day, the president’s party won an exceptional midterm victory. Both pieces of news bear directly on the uncertainty we study: the certiorari grant on the imminence of its resolution, the election as an indication of popular support for the administration’s policies. Because the exchange was closed on election day, we cannot disentangle the effect of the certiorari grant from that of the election result. Over the window, exposed firms outperformed non-exposed firms by 3.5 percentage points ($t = 3.3$). The size split shows that the differential comes from small firms: within the small tercile, exposed firms returned 14.6% against 6.2% for non-exposed firms (+8.4 percentage points, $t = 3.7$), while the medium and large tercile differentials are positive in the raw comparison (+0.9 and +0.1 percentage points), essentially zero after beta adjustment, and not statistically significant.

2. None of the lower court events produced a significant differential between exposed and non-exposed firms.

Below we report what the literal implementation of your suggestions reveals, and then explain how it led to the presentation the paper adopts, which we believe follows the spirit of your suggestion.

Part of the referee’s recommendation reads:

A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with “event lines” (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors.

Because the events last only a few days each over a nearly two-year period, plotting them all in one graph makes it impossible to visualize the effects. Instead, we plotted individual graphs of the four return series around each event, which we report in Figure R1 at the end of this document. Generating these figures surfaced two further observations about the four-series representation.

1. The equal-weighted exposed portfolio and the exposure-weighted ($\tilde{d}$ -weighted) portfolio track each other closely in every window, as Figure R1 shows: weighting exposed firms by the size of their exposure barely changes the portfolio’s return. Reporting both series appears redundant and hinders the readability of the figures. Therefore, we keep the equal-weighted version, both because it is the simpler object and because the historical section precedes the formal introduction of the exposure measure, $\tilde{d}$. The figures in the paper (Internet Appendix Figures IA.1–IA.4) adopt this representation; we reproduce them as Figure R2 at the end of this document.
2. In the two windows with large positive returns, the Joint Resolution and the certiorari grant and midterm election, the market return sits below the exposed and non-exposed portfolios alike. The reason is that small firms rallied more than large firms, raising the question of whether the differential we are documenting only applies to small firms.

The natural way to investigate this question would be to value-weight the two portfolios. In this sample, however, that comparison is dominated by a handful of firms: the five largest of the 177 gold-exposed firms carry 48% of the value-weighted gold portfolio’s weight, and the ten largest carry two thirds of the weight. This degree of concentration makes the exercise unconvincing. For that reason, we instead decided to show the results by size group: we sort all firms into terciles on market capitalization at the end of 1932, before the litigation year so that the classification cannot reflect the events themselves, and compare the equal-weighted exposed and non-exposed portfolios within each tercile, alongside the pooled comparison. This is what the paper’s Table 1 reports for every event window. In the paper we keep the discussion of why we do not value-weight the portfolios brief (a footnote in Section 3 notes the concentration problem).

Table 1 is the single reference for the return evidence discussion in the main text. It is designed so that every claim in the narrative can be verified in one place: for each main event window, and for the full episode, it reports the cumulative returns of the exposed and non-exposed portfolios and their differential, raw and beta-adjusted, with t -statistics scaled by the daily variability of the differential over the pre-abrogation period (July 1926–December 1932). Because each panel

also breaks the comparison into size terciles, the reader can check directly whether a differential is broad-based or concentrated among small firms. For convenience, we reproduce Table 1 as Table R3 at the end of this document.

The central result is the Joint Resolution window (May 26–June 6, 1933): exposed firms returned 30.9% against 25.4% for non-exposed firms, a differential of +5.5 percentage points ($t = 3.0$), the gold-specific response that the abrogation’s debt relief predicts; the differential is positive in every size tercile, weaker among the largest firms. The November 5–8, 1934 window is the other significant event, with a differential of +3.5 percentage points ($t = 3.3$). The oral-arguments window (January 8–10, 1935) is nearly flat; news of the government’s poor showing spread through the press only after the hearings, and a differential of -1.2 percentage points ($t = -0.8$) appears over the post-argument days (January 11–17). On the decision day (February 18, 1935), exposed firms returned 3.7% against 3.2%, a differential of +0.5 percentage points ($t = 0.8$). Section 3 narrates each of these windows.

The full-horizon evidence the referee’s single figure would have carried appears instead in Panel F of Table 1, which reports cumulative returns over the full episode, May 26, 1933 through February 18, 1935, in the same format as the event windows. The panel makes a point that supports our identification. Over these twenty-one months, both portfolios more than doubled, yet the cumulative differential between them is relatively small (+8.4 percentage points for the pooled sample). Exposed firms did not simply outperform non-exposed firms throughout the period; the differential emerges around the specific dates at which news about the gold clauses arrived, positive on favorable news and negative on unfavorable news, as in the post-argument days.

One arithmetic feature of the table deserves a remark so that it does not read as an inconsistency: the pooled Joint Resolution differential (+5.5) exceeds each within-tercile differential (+4.6, +4.9, +2.4). This is a composition effect. The terciles are formed on common end-1932 market-capitalization breakpoints, and exposed firms—larger by assets but more levered, hence smaller by equity value—fall disproportionately in the small tercile (39% of exposed firms, against 31% of non-exposed firms), which earned the largest returns in the window. A footnote in Section 3 makes

this point.

The muted response of larger firms is consistent with the smaller effect of gold exposure we document for large firms in the investment evidence (Internet Appendix Table IA.19). The aggregation discussion in Section 5.6 now echoes this connection:

Allowing for size heterogeneity yields similar results in 1933 but a somewhat smaller aggregate effect in 1934, reflecting the concentration of capital among large firms that experienced more moderate gold clause effects, in line with the stock return evidence, where the event-window differentials were most visible among small firms (Table 1).

The referee also suggests presenting the return analysis in a regression framework. The return evidence is part of the descriptive historical narrative of Section 3, and we did not want to overwhelm the reader with formal analysis at that point of the paper; we therefore introduced as little formalism as possible while still carrying the point. Table 1 implements the comparison such a regression would run: the raw differential is numerically the coefficient on a gold-exposure indicator in a cross-sectional regression of event-window returns, and the beta-adjusted differential is its market-model counterpart.

In more detail on the first lawsuits and lower court rulings, new Internet Appendix Section IA.1 (Table IA.20, reproduced as Table R4 at the end of this document) examines every intermediate judicial step the referee mentions: the first hearing on the enforceability of gold clauses (May 22–24, 1933), the lower-court rulings upholding the Joint Resolution (*In re Missouri Pacific*, June 20, 1934; the *Norman* affirmance, July 3, 1934), and the first certiorari grant (October 8, 1934). None of them produced a significant differential response (differentials of +1.4, −1.2, +0.7, and +0.7 percentage points, all with $|t| \leq 1.3$); a footnote in Section 3 points readers to this analysis. The size split reinforces these null results: none of the four judicial events produces a differential exceeding $|t| = 1.3$ in any size tercile, raw or beta-adjusted.

One small point on last sentence page 12/top page 13. I don't think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to

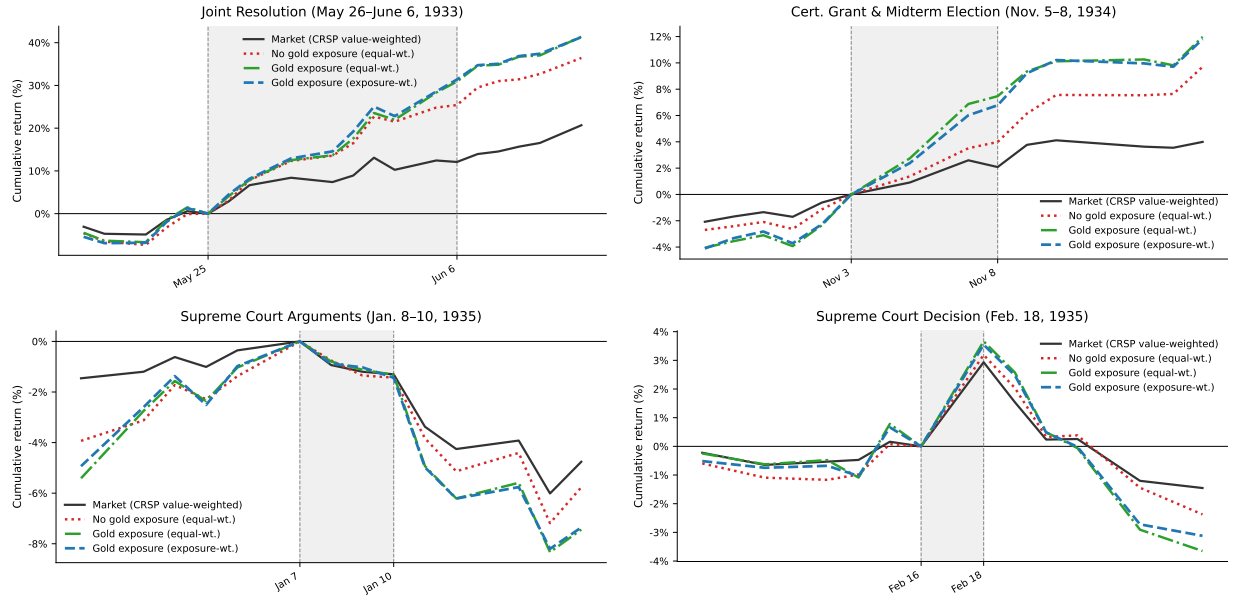
be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is missing.

The referee is right, and we are grateful for the correction. The previous draft stated the Liberty Bond fact without the appropriate context, and the interpretation the referee proposes is exactly the one the episode calls for: since Liberty Bonds were themselves gold-denominated government obligations, their rising prices signaled that investors saw a real chance the government would lose the case and be forced to honor gold payments. We have adopted the referee’s interpretation in the revised passage, which now reads:

“[B]etween January 11 and 17, gold-exposed firms fell 4.5%, against 3.3% for non-exposed firms (Table 1, Panel D). By January 13, the *New York Times* reported that, amid ‘the speculative fever for gold,’ Liberty Bond prices had reached their highest level since 1917 (New York Times, 1935). Since Liberty Bonds were themselves gold-denominated government obligations, their rising prices reflected investor expectations that the government could lose the case and be forced to honor full gold payments.”

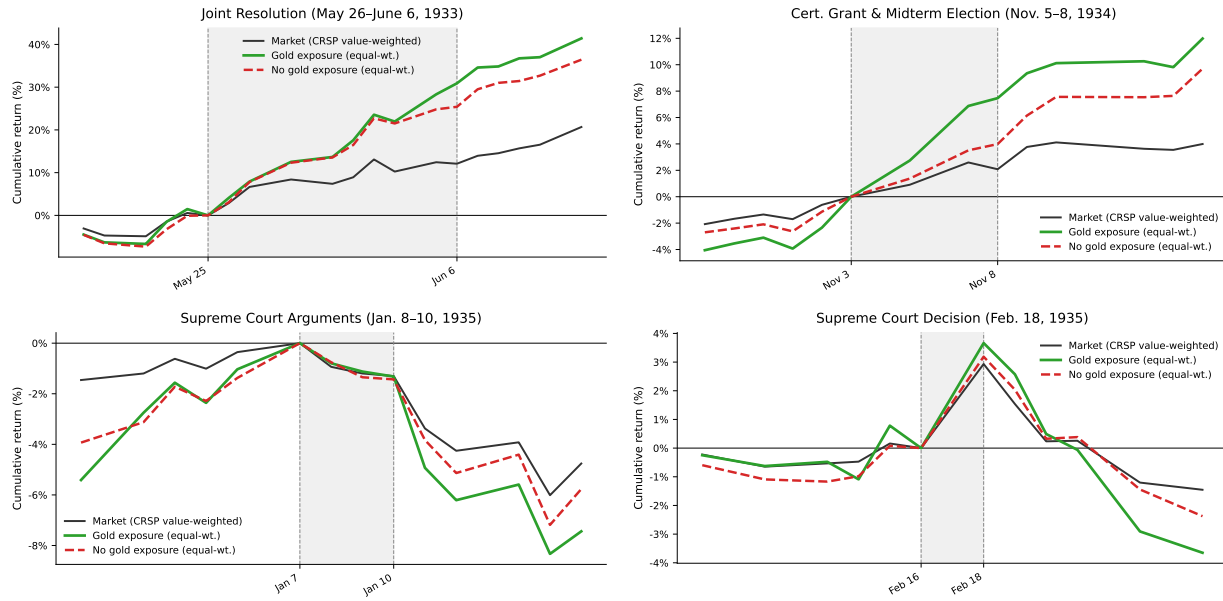
We have also added the missing citation: *New York Times*, “Gold Issue Hits Highest since 1917,” January 13, 1935, p. 2.

Figure R1: The four requested return series around each event



Note. Cumulative returns of the four series the referee lists: the CRSP value-weighted market, the equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio. Each panel is normalized to zero at the close of the last trading day before the window; shaded regions mark the event windows.

Figure R2: The event figures as they appear in the Internet Appendix (Figures IA.1–IA.4)



Note. The adopted representation: cumulative returns of the CRSP value-weighted market (solid black) and of the equal-weighted portfolios of firms with gold-clause exposure (solid green) and without (dashed red), normalized to zero at the close of the last trading day before each window; shaded regions mark the event windows.

Table R1: Table 4, column 4 (no-redemption sample), before and after the correction

	Column 4 (No redemption)	
	Round 1	Revised
Q	0.085*** (0.015)	0.085*** (0.014)
$\tilde{d}$	-0.097** (0.033)	-0.099*** (0.033)
$1926 \times \tilde{d}$	0.057** (0.021)	0.059** (0.022)
$1927 \times \tilde{d}$	0.026 (0.028)	0.029 (0.028)
$1928 \times \tilde{d}$	0.061* (0.030)	0.060* (0.030)
$1929 \times \tilde{d}$	0.046 (0.029)	0.043 (0.029)
$1930 \times \tilde{d}$	-0.018 (0.022)	-0.015 (0.022)
$1931 \times \tilde{d}$	0.004 (0.014)	0.008 (0.014)
$1933 \times \tilde{d}$	-0.068*** (0.013)	-0.063*** (0.013)
$1934 \times \tilde{d}$	-0.032*** (0.011)	-0.035*** (0.010)
$1935 \times \tilde{d}$	0.025** (0.010)	0.029*** (0.010)
$1936 \times \tilde{d}$	0.001 (0.012)	0.007 (0.012)
$1937 \times \tilde{d}$	0.015 (0.016)	0.011 (0.016)
$1938 \times \tilde{d}$	0.000 (0.019)	0.009 (0.019)
$1939 \times \tilde{d}$	-0.021 (0.015)	-0.021 (0.015)
$1940 \times \tilde{d}$	-0.005 (0.016)	-0.011 (0.016)
R^2	0.221	0.229
Observations	5,572	5,853

Note. The Round 1 sample inadvertently excluded 37 unexposed firms that lacked a prior-year observation during 1931–1935; the revised sample excludes only the 96 firms that retired their gold-clause debt during the litigation window. Standard errors in parentheses are two-way clustered by firm and year. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table R2: Table 4, column 7 (bank-debt placebo), before and after the clustering correction

	Round 1	Revised
Q	0.095*** (0.014)	0.095*** (0.017)
$\tilde{d}$	-0.007 (0.110)	-0.007 (0.093)
$1926 \times \tilde{d}$	-0.335* (0.177)	-0.335** (0.129)
$1927 \times \tilde{d}$	-0.210 (0.157)	-0.210 (0.124)
$1928 \times \tilde{d}$	-0.144* (0.078)	-0.144*** (0.038)
$1929 \times \tilde{d}$	0.252 (0.321)	0.252 (0.147)
$1930 \times \tilde{d}$	-0.097 (0.098)	-0.097 (0.081)
$1931 \times \tilde{d}$	-0.045 (0.110)	-0.045 (0.103)
$1933 \times \tilde{d}$	0.057 (0.093)	0.057 (0.061)
$1934 \times \tilde{d}$	0.060 (0.084)	0.060 (0.038)
$1935 \times \tilde{d}$	-0.026 (0.056)	-0.026 (0.026)
$1936 \times \tilde{d}$	-0.013 (0.062)	-0.013 (0.032)
$1937 \times \tilde{d}$	-0.038 (0.067)	-0.038 (0.041)
$1938 \times \tilde{d}$	0.025 (0.064)	0.025 (0.045)
$1939 \times \tilde{d}$	-0.056 (0.075)	-0.056 (0.052)
$1940 \times \tilde{d}$	0.032 (0.076)	0.032 (0.057)
R^2	0.239	0.239
Observations	7,074	7,074

Note. Coefficients are identical in the two versions. The Round 1 standard errors were inadvertently clustered by firm only; the Revised standard errors are two-way clustered by firm and year, like every other column of Table 4. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table R3: Stock market responses to key legal events (Table 1 of the paper)

	Portfolio return		Differential (gold – no gold)			
	Gold	No gold	Raw	t	β -adj.	t
<i>Panel A: Joint Resolution (May 26–June 6, 1933)</i>						
Pooled	30.9%	25.4%	+5.5	(3.0)	+4.2	(2.3)
Small	49.0%	44.4%	+4.6	(1.2)	+4.2	(1.1)
Medium	24.8%	20.0%	+4.9	(1.5)	+2.5	(0.8)
Large	18.3%	15.9%	+2.4	(1.4)	+0.9	(0.5)
<i>Panel B: Certiorari Grant & Midterm Election (November 5–8, 1934)</i>						
Pooled	7.5%	4.0%	+3.5	(3.3)	+3.2	(3.1)
Small	14.6%	6.2%	+8.4	(3.7)	+8.4	(3.7)
Medium	4.7%	3.8%	+0.9	(0.5)	+0.5	(0.3)
Large	2.5%	2.4%	+0.1	(0.1)	-0.2	(-0.2)
<i>Panel C: Supreme Court Arguments (January 8–10, 1935)</i>						
Pooled	-1.3%	-1.4%	+0.1	(0.1)	+0.3	(0.3)
Small	-1.1%	-0.7%	-0.3	(-0.2)	-0.3	(-0.1)
Medium	-1.2%	-2.1%	+0.9	(0.5)	+1.3	(0.7)
Large	-1.7%	-1.3%	-0.4	(-0.4)	-0.1	(-0.1)
<i>Panel D: Post-Argument Days (January 11–17, 1935)</i>						
Pooled	-4.5%	-3.3%	-1.2	(-0.8)	-0.9	(-0.6)
Small	-4.8%	-3.1%	-1.7	(-0.5)	-1.7	(-0.5)
Medium	-5.3%	-3.5%	-1.8	(-0.7)	-1.2	(-0.5)
Large	-3.4%	-3.2%	-0.2	(-0.2)	+0.1	(0.1)
<i>Panel E: Supreme Court Decision (February 18, 1935)</i>						
Pooled	3.7%	3.2%	+0.5	(0.8)	+0.2	(0.3)
Small	3.3%	2.8%	+0.6	(0.4)	+0.5	(0.4)
Medium	4.6%	3.7%	+0.9	(0.8)	+0.3	(0.3)
Large	3.2%	3.0%	+0.2	(0.4)	-0.1	(-0.2)
<i>Panel F: Full Episode (May 26, 1933–February 18, 1935)</i>						
Pooled	125.3%	116.9%	+8.4	(0.6)	+5.0	(0.4)
Small	269.5%	281.0%	-11.5	(-0.4)	-12.4	(-0.4)
Medium	70.6%	84.1%	-13.5	(-0.6)	-19.8	(-0.9)
Large	60.6%	54.8%	+5.7	(0.4)	+1.9	(0.1)

Note. Cumulative raw returns, from daily CRSP returns, of equal-weighted portfolios of firms with ($\tilde{d}_j > 0$) and without ($\tilde{d}_j = 0$) gold-clause exposure over each event window, pooled and within size terciles formed on market capitalization at the end of 1932 (gold/non-gold firm counts: 177/376 pooled; 69/116, 51/133, 57/127 across terciles). Differentials are gold minus non-gold, in percentage points; the beta-adjusted differential subtracts $(\beta_G - \beta_N) \times R_m$, where R_m is the market return over the window and portfolio betas are estimated from daily returns over 1926–1940 (pooled: $\beta_G = 1.01$, $\beta_N = 0.90$). t -statistics scale each differential by $\hat{\sigma}\sqrt{h}$, where h is the number of trading days in the window and $\hat{\sigma}$ is the standard deviation of the daily differential over the pre-abrogation period (July 1926–December 1932). The decision-day benchmark is the close of Saturday, February 16, 1935. The November window combines the certiorari grant in *United States v. Bankers Trust Co.* with the midterm election, for which the exchange was closed.

Table R4: Intermediate legal events, by firm size (Internet Appendix Table IA.20)

	Portfolio return		Differential (gold – no gold)			
	Gold	No gold	Raw	<i>t</i>	β -adj.	<i>t</i>
<i>Panel A: First gold-clause hearing, Irving Trust (May 22–24, 1933)</i>						
Pooled	8.3%	6.9%	+1.4	(1.3)	+0.8	(0.7)
Small	8.8%	6.7%	+2.1	(0.9)	+1.9	(0.8)
Medium	8.6%	7.7%	+0.9	(0.5)	-0.2	(-0.1)
Large	7.4%	6.3%	+1.2	(1.2)	+0.5	(0.5)
<i>Panel B: In re Missouri Pacific ruling (June 20–22, 1934)</i>						
Pooled	-5.1%	-3.9%	-1.2	(-1.1)	-0.8	(-0.8)
Small	-5.5%	-3.9%	-1.6	(-0.7)	-1.5	(-0.7)
Medium	-5.1%	-4.3%	-0.9	(-0.5)	-0.1	(-0.1)
Large	-4.7%	-3.6%	-1.1	(-1.1)	-0.6	(-0.6)
<i>Panel C: Norman affirmed, N.Y. Ct. App. (July 3–6, 1934)</i>						
Pooled	2.2%	1.5%	+0.7	(0.6)	+0.4	(0.4)
Small	1.6%	1.8%	-0.2	(-0.1)	-0.2	(-0.1)
Medium	2.0%	1.1%	+0.9	(0.5)	+0.4	(0.2)
Large	2.9%	1.7%	+1.2	(1.2)	+0.9	(0.9)
<i>Panel D: Certiorari granted, Norman (Oct. 8–10, 1934)</i>						
Pooled	2.1%	1.4%	+0.7	(0.6)	+0.6	(0.5)
Small	4.5%	2.4%	+2.1	(0.9)	+2.1	(0.9)
Medium	0.7%	1.0%	-0.3	(-0.2)	-0.5	(-0.3)
Large	0.8%	1.0%	-0.2	(-0.2)	-0.4	(-0.4)

Note. Same construction as the previous table; each window is three trading days from the event date.